

AIAENG

Earnings Call Transcript • Feb 2026

FINANCIAL PERFORMANCE

Metric	Figure	YoY	QoQ
Revenue (Op)	INR 1,066 Cr	N/A	N/A
Total Income	INR 1,200 Cr	N/A	N/A
PAT	INR 294 Cr	N/A	N/A
EBITDA Margin	40% (Reported)	N/A	N/A
Operating EBITDA Margin	28%	N/A	N/A

Note: 9-Month Period (ended Dec 31, 2025): Total Income INR 3,495 Cr, EBITDA INR 1,241 Cr, PAT INR 876 Cr.

KEY HIGHLIGHTS

- Production & Sales:** The company reported Q3 production of 67,896 tons and sales of 64,500 tons. For the 9-month period, production and sales were both approximately 187,000 tons.
- Subsidiary Closure:** AIA closed its subsidiary plant, Welcast Steels (Bangalore), which had a capacity of 24,000 tons. This reduces total capacity from 460,000 tons to 436,000 tons (314,000 tons grinding media; 120,000 tons castings). Management stated the plant was old and non-viable compared to newer Ahmedabad facilities.
- Cash Position:** The company maintains a robust cash balance of approximately INR 4,200 Cr.

- **Other Income:** Reported at INR 135 Cr, including INR 50 Cr in forex gains (due to USD/INR movement beyond 90), INR 18 Cr in export benefits, and INR 83 Cr in treasury income.

GROWTH DRIVERS

- **Structural Copper Bull Run:** Management highlighted a "structural bull run" for copper, noting that global copper production is declining due to ore grade degradation. AIA positions itself as a critical solution provider for copper and gold miners to improve throughput and reduce power/consumable costs.
- **Solution-Oriented Approach:** The company is shifting from selling standalone grinding media to a "package solution" (unique liners + high-chrome grinding media). This is intended to improve mill throughput and reduce operating costs (power/cyanide) for mining clients.
- **Geographic Focus:** Management is aggressively targeting large mining markets outside India, specifically Latin America, Australia, Africa, and CIS, which offer significantly larger addressable opportunities than the domestic market.

MANAGEMENT GUIDANCE & OUTLOOK

- **Volume Guidance:** Management explicitly declined to provide volume guidance, citing a lack of clear signaling from customers regarding the transition from "proof of concept" to full commercial engagement.
- **Market Conditions:** Management described the current environment as having "tremendous instability" and "serious uncertainty" due to geopolitics, shipping lane fragility, and protectionist trade policies (duties/borders).
- **Realism:** Management emphasized that they are "agnostic to mining industry cycles" and are focused on the conversion opportunity (penetrating the 1.5–2 million ton addressable market for high-chrome solutions).

CAPEX / EXPANSION / ORDER BOOK

- **Capex Plan:** FY26 capex is guided at INR 180 Cr. Approximately INR 105 Cr has been spent; the remaining INR 75 Cr includes INR 30 Cr for solar hybrid capacity (to be completed in Q4) and maintenance/general capex.
- **International Expansion:**

- **Ghana:** Land is procured; awaiting government clearances. Expected commissioning in ~1.5 years.
- **China:** Process initiated; a small lab has been set up. Expected commissioning in 1.5–2 years.
- **Capacity Utilization:** Currently operating at ~60–65% of rated capacity. Management stated they can ramp up production easily if breakthroughs occur.

RISKS, CONCERNS & RED FLAGS

- **Protectionism:** Management acknowledged that duty/tariff barriers have caused a loss of ~75,000–80,000 tons of volume over the last 5–7 years.
- **Trial Delays:** Several important trials expected to yield results in the previous quarter have been pushed to the March quarter. Management admitted the process is "taking a little more time" due to technical complexity.
- **Shipping Risks:** Fragile shipping lanes and container availability remain a significant risk to logistics and costs.
- **Evasive on Margins:** Management noted that while current margins are "decent," they are refraining from margin guidance, suggesting that higher volumes might actually lead to lower percentage margins due to product mix changes.

ANALYST Q&A KEY TAKEAWAYS

- **Chile Order:** Management confirmed that supplies to the Chilean customer have started and will continue over 18 months, with expectations for a recurring relationship.
- **Mill Liner Competition:** Identified 4 main incumbents (Elecmetal, Bradken, Metso, and an Indonesian firm). AIA differentiates itself by offering custom designs rather than just producing conventional incumbent designs.
- **Hindustan Copper Opportunity:** When asked if they could 3x or 4x volumes based on Hindustan Copper's expansion, management pivoted, stating their "fundamental focus" is on larger international markets (Latin America) rather than domestic mining.
- **Welcast Steels:** Management clarified that the subsidiary was acquired 25 years ago for capacity and is now "done and dusted." They are keeping expenses at a bare minimum.

OVERALL TONE & CREDIBILITY

- **Overall Tone: Neutral**
- **Justification:** Management was transparent about the "uneventful" nature of the quarter and the slow progress of trials. They were notably cautious, refusing to provide volume guidance and downplaying the potential of the domestic market (Hindustan Copper) in favor of international opportunities. Their credibility is bolstered by their willingness to admit to the loss of 80,000 tons of volume due to protectionism and their focus on long-term value-added solutions rather than short-term volume pushes. However, the lack of concrete timelines for the "breakthrough" trials remains a point of investor concern.